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Interim Market Commentary

Actions of the Central Bank

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Central Bank Purchases of Mortgage-Backed Securities

A few weeks ago, the New York Fed began purchasing agency paper. This was an event that the media did not cover very well, if at all. Nevertheless, this event is important and I want to call people's attention to it. The paper in question consists of mortgage-backed securities (MBS). According to its website, the New York Fed and its representatives purchased \$10.2 billion of MBS. The Fed's representatives are four investment managers: BlackRock Inc., Goldman Sachs Asset Management, PIMCO and Wellington Management Co. The Fed intends to purchase \$600 billion worth of MBS, with the objective of lowering the mortgage rate to 4.5%. The agencies need to make a profit on all the mortgages they securitize so, in order to lower the rate to that level, the funding cost on agency paper will have to be well less than 4%.

If the standard Treasuries were to trade at a lower rate than agencies, we would see Treasury paper where it is right now, or even lower. The roughly \$600 billion worth of MBS to be purchased is a very substantial portion of the balance sheets of the agencies. Once the \$600 billion investment is made, and assuming that the interest income is reinvested in the program, which I believe it will be, that income should be sufficient to make the New York Fed and Treasury a significant reinvestor in newly-issued MBS paper by the agencies.

That circumstance creates many issues, some of which are good and some bad. In the positive dimension, last week the mortgage rate reached a sixth consecutive record low, slightly in excess of 5%, in anticipation of the commencement of this program. There is massive refinancing activity that began several weeks ago. When we say "refinancing activity," the term requires qualification because, at the moment, it refers to applications for refinancing. It's undoubtedly true that very few actual refinancings have been completed.

If you presume, however, that refinancings of mortgages undertaken three years ago, when the average house might've been worth \$225,000, had an 80% mortgage, that would be a mortgage of \$180,000. If you further assume that the average borrower might have saved 150 basis points, it would be a pretax savings of \$2,700. Though that amount could have a significant effect if it were continued for a sufficiently long period of time, at the moment, it would hardly have any economic impact. It is, however, inexorable and will ultimately have a very profound impact.

On the negative side, the MBS purchases by New York Fed and Treasury are potentially inflationary and could have negative consequences for the dollar. They could even negatively affect the ability of the United States to fund its very large deficit but, of course, the authorities are willing to undertake that risk. The purchases also have less obvious implications for a variety of industries that need to purchase fixed income securities. It's infrequently commented upon that there are industries, including the insurance industry, that by law must invest the bulk of their capital in fixed income securities that have real

liabilities and maturities constantly. In addition to premium income, there's a constant need to reinvest. If the term structure rate is going to be very low, ultimately it will create an issue for the insurance industry.

It's also true that, by law, the banking industry must also invest in debt. It's impossible to imagine banks taking depositors' money and investing it in equities. It's impossible to imagine the bulk of the capital of insurance companies invested in equities. If there is a huge agglomeration of insurance in force, if there are \$10 or \$11 trillion of bank deposits in existence, and if there are well over \$3 trillion in money market funds, that alone necessitates having at least that much debt outstanding.

To the extent that we live in a society in which liabilities need to be provided for in the form of insurance, and savings are undertaken in the form of various deposits that have immediate liquidity provisions, there will have to be an offsetting amount of debt. The idea that you can actually de-leverage a society is not arithmetically plausible when looked at in that light, unless you were going to have a radically different insurance industry, and a markedly lower amount of money in bank deposits and money market funds.

It's also worthwhile commenting upon the comparisons that are often made between the current crisis in the United States and the Japanese crisis. In a certain sense, perhaps they are comparable, but in another sense they are radically different. It's worthwhile remembering that the Federal Reserve has dramatically expanded its balance sheet by more than 140% since September 2008.

If I were to compare the actions of the Bank of Japan to the actions of the Federal Reserve, the following statistics are worthwhile noting. Eight years ago on December 31, 2001, the Bank of Japan had 117 trillion yen worth of assets. As of December 31, 2008, the Bank of Japan had 122.7 trillion yen worth of assets. During the last seven years, the Bank of Japan has only slightly expanded its balance sheet, and much of that expansion has come since September of 2008, as can be seen in Table 1.

Table 1: Central Bank Balance Sheets

	Date	Total Assets	% Increase
Swiss National Bank	9/08	131 billion Swiss Francs	
	11/08	196 billion Swiss Francs	49.6%
Bank of Japan	9/10/08	107 trillion Japanese Yen	
	12/31/08	122.7 trillion Japanese Yen	14.7%
European Central Bank	9/5/08	1.444 trillion Euros	
	12/08	2.043 trillion Euros	41.5%
Bank of England	9/3/08	97.7 billion British Pounds	
	11/26/08	239.0 billion British Pounds	144.6%
US Federal Reserve Bank	9/3/08	935 billion US Dollars	
	12/31/08	2.266 trillion US Dollars	142.4%

The actions of the United States Treasury and the Federal Reserve in relation to everything that's happened is unique and without historical parallel. It's hard to imagine that it won't have an effect. You can debate what the effect will be, but an effect there must be. Assuming that the Treasury and the Federal Reserve are successful in lowering mortgage rates, one of the effects should be an increase in the value of real estate, which must be the intended objective. The value of real estate is powerfully dependent upon the cost of financing it because, to the extent that you lower the cost of buying real estate, its value will rise.

Central Bank Actions and Real Estate Values

If one accepts that not only the United States, but many governments around the world, are currently engaged in an effort to lower the cost of financing to restore the credit market from its current dysfunctional state, then it must logically follow that real estate will be worth more as a result. As discussed in the *Musings* section, real estate values are powerfully dependent upon the cost of its financing. If one thinks of real estate as a cash flow producing entity, like a bond, and one reasons that the lower the cost of financing, the greater the worth of the real estate, what would happen in the world of bonds, we ask rhetorically, if we believed that rates were diminishing? The greater appreciation would be realized by the issuers of zero coupon securities, because those securities would have the greatest convexity for any given diminution of rates. The reverse would be true as well.

It seems logical that the greatest discount rate would be applied to the instrumentality that has no cash flow. The analogous instrument in real estate would be companies that have very little, or no, cash flow right now. Companies that own largely undeveloped land have very little cash flow, and there are only a few of them in the United States. Those that do exist are misclassified, because there is no SIC code for undeveloped real estate companies. There are SIC codes for REITs, but they wouldn't apply. Generally, the

owners of raw land are classified in the same group as companies in the agricultural business because, before raw land is developed, it is not infrequently used for agricultural purposes. Examples of companies that mainly own undeveloped land are Tejon Ranch (TRC), St. Joe (JOE), Consolidated Tomoka CTO) and Texas Pacific Land Trust (TPL). These companies are categorized as members of the agricultural industry segment, and they are classified in the same segment as Fresh Del Monte (FDP), Chiquita Brands (CQB), and ML Macadamia Orchards (NNUT).

If you think about it, that method of classifying companies highlights a danger of using Exchange Traded Funds (ETFs) because, by regulation, ETFs must be constructed using an objective decision rule. Nearly all ETFs function off the objective decision rule of membership in a given industry classification. In other words, all of the members of a given industry are selected for inclusion within an ETF. They may be weighted equally, by market capitalization, or by some other criteria, but the inclusion criteria must be objective, like a code. In many cases, the codes themselves are a residue of historical, not current, means of looking at companies.

I think that there's an opportunity in undeveloped land. If, for example, one were to look at the value per acre as expressed in St. Joe's market capitalization, and compare it to what an acre that's going to be developed actually sells for, even at today's depressed prices, one would see the discount to net asset value made manifest. The reason the discount rate is very high is that, in the current environment, it's unlikely that very many acres are going to be converted for development purposes. The Fed action, however, might change all that, and change it radically.

Some of the companies that have raw land are Pink Sheet traded companies, and are not very liquid. For those who might be interested, I'll mention one company, Biloxi Marshland (BLMC), but there are others like it with land that has yet to be developed, but that may have considerable value to it.

While on the subject of raw land, it's also worth mentioning that some of the timber REITs are large landholders. Plumb Creek Timber (PCL), believe it or not, owns over 8 million acres, and is the largest private landowner in the United States. Of course, Plumb Creek Timber has cash flow, though one could argue that it's not optimized cash flow, since lumber is typically used for housing.

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